



CHAPTER xli.

An Act for conferring further powers on the Caledonian Insurance Company and for other purposes.

[26th July 1946.]

WHEREAS the Caledonian Insurance Company (hereinafter referred to as "the Company") was incorporated by the Caledonian Insurance Company's Act 1923 (hereinafter referred to as "the Act of 1923"):

13 & 14 Geo. 5.
c. xxix.

And whereas the authorised capital of the Company is one million pounds and the issued share capital is one hundred and fifty-five thousand pounds divided into one hundred and fifty-five thousand shares of five pounds each on which the sum of one pound per share has been paid up:

And whereas it is expedient to provide for the subdivision of the shares of the Company and for the conversion of paid-up shares into stock:

And whereas at the thirty-first day of December one thousand nine hundred and forty-four the general reserve funds of the Company amounted to the sum of one million four hundred thousand pounds:

And whereas at the said date there was remaining at the credit of the profit and loss account the sum of one hundred and eighty-eight thousand four hundred and fifty-three pounds:

And whereas it is expedient to amend the provisions of the Act of 1923 in reference to the reserve funds of the Company and to provide for the capitalisation thereof and of the undivided profits of the Company as hereinafter provided:

And whereas it is expedient that the other provisions in this Act contained should be enacted:

And whereas the purposes of this Act cannot be effected without the authority of Parliament:

May it therefore please Your Majesty that it may be enacted and be it enacted by the King's most Excellent Majesty by and with the advice and consent of the Lords Spiritual and Temporal and Commons in this present Parliament assembled and by the authority of the same as follows (that is to say):—

Short title and citation.

1. This Act may be cited as the Caledonian Insurance Company's Act 1946 and may together with the Caledonian Insurance Company's Act 1923 be cited as the Caledonian Insurance Company's Acts 1923 and 1946.

Interpretation.

2. In this Act unless there be something in the subject or context repugnant to such construction the several words and expressions to which meanings are assigned by the Act of 1923 shall have the same respective meanings and the following words shall have the meaning hereby assigned to them (namely):—

“ The Act of 1923 ” means the Caledonian Insurance Company's Act 1923.

Subdivision of shares.

3. The Company may from time to time in such manner as may be authorised by a resolution of the Company passed in general meeting subdivide the shares of the Company or any of them into shares of smaller amount so however that in the subdivision the proportion between the amount paid and the amount (if any) unpaid on each reduced share shall be the same as it was in the case of the share from which the reduced share is derived.

Conversion of shares into stock.

4.—(1) The Company may from time to time in such manner as may be authorised by a resolution of the Company passed in general meeting convert any paid-up shares into stock.

(2) The holders of such stock may transfer the same or any part thereof in the same manner and subject to the same regulations as and subject to which the shares from which the stock arose might previously to conversion have been transferred or as near thereto as circumstances admit but the directors may from time to time fix the minimum amount of stock transferable and restrict or forbid the transfer of fractions of that minimum but the minimum shall not exceed the nominal amount of the shares from which the stock arose.

(3) The holders of such stock shall according to the amount of the stock held by them have the same rights and privileges and advantages as regards dividends voting at meetings of the Company and other matters as if they held the shares from which the stock arose but no such privilege or advantage (except participation in the dividends and profits of the Company) shall be conferred by any such aliquot part of stock as would not if existing in shares have conferred that privilege or advantage.

(4) Such of the regulations of the Company as are applicable to shares shall apply to stock and the words "share" and "shareholder" therein shall include "stock" and "stockholder."

5.—(1) Before any profits are allocated to or divided among the shareholders or participating policy-holders in the life assurance business or others entitled to participate in such profits the directors may from time to time set aside out of the profits of the Company such sums as they think proper as a reserve or reserves which shall at the discretion of the directors be applicable for meeting contingencies or for equalising dividends or for any other purpose to which the profits of the Company may be properly applied and pending such application may at the like discretion either be employed in the business of the Company or be invested in such investments (other than shares or stock of the Company) as the directors may from time to time think fit. Reserve funds.

(2) Section 32 (Reserve funds) of the Act of 1923 is hereby repealed.

6.—(1) The Company in general meeting may at any time and from time to time pass a resolution that any sum or sums— Capitalisation of undivided profits.

(a) forming part of the undivided profits standing to the credit of any reserve fund of the Company including premiums received on the issue of any shares stock bonds debenture stock or debentures of the Company; or

(b) being undivided net profits in the hands of the Company;

be capitalised and that any such sum or sums be set free for distribution and be appropriated as capital to and amongst the shareholders who would have been entitled thereto if the same had been distributed by way of dividend and in the same shares and proportions and in such manner as the resolution may direct and such resolution shall be effective and the directors shall in accordance with such resolution apply such sum or sums in paying up any shares stock bonds debenture stock or debentures of the Company on behalf of the shareholders aforesaid and appropriate such shares stock bonds debenture stock or debentures to or distribute the same credited as fully paid-up amongst such shareholders in the proportions aforesaid or shall apply such sum or sums or any part thereof on behalf of the shareholders aforesaid in paying up the whole or part of any uncalled balance which shall for the time being be unpaid in respect of any issued shares or stock held by such shareholders or otherwise deal with such sum or sums as directed by such resolution.

(2) Where any difficulty arises in respect of any appropriation or distribution resolved on in pursuance of the preceding subsection the directors may settle the same as they think expedient and in particular they may issue fractional certificates fix the value for distribution of any fully paid-up shares stock bonds debenture stock or debentures make cash payments to any shareholders on the footing of the value so fixed in order to adjust rights and vest any such shares stock bonds debenture stock or debentures in trustees upon such trusts for the persons entitled to share in the appropriation or distribution as may seem just and expedient to the directors.

2 & 3 Geo. 6.
c. 62.

9 Geo. 6. c. 10.

(3) So long as the making of an issue of capital in the United Kingdom without the consent of the Treasury is prohibited by regulations made under the Emergency Powers (Defence) Act 1939 or under that Act as extended by any subsequent enactment including the Supplies and Services (Transitional Powers) Act 1945 or so long as the borrowing or raising of money in Great Britain without the consent of the Treasury is prohibited by an Order made under section 1 of the Borrowing (Control and Guarantees) Act 1946 it shall not be lawful for the Company to exercise the power of capitalisation conferred by this section without such consent. Provided that nothing in this subsection shall require the Company to obtain the consent of the Treasury to the exercise of any power of capitalisation conferred by this section where such consent is not required by virtue of any regulations or order as aforesaid.

Saving for
general Acts.
9 Edw. 7. c. 49.

7. Nothing in this Act shall be deemed to exempt the Company from the provisions of the Assurance Companies Act 1909 and any Act amending or extending the same or of any general Act passed during the present or any future session of Parliament affecting assurance companies formed previously to the passing thereof.

Costs of Act.

8. All costs charges and expenses of and incidental to the preparing for and obtaining this Act or otherwise in relation thereto shall be paid by the Company.

Printed by Sir NORMAN GIBB SCORGIE, C.V.O., C.B.E.,
Controller of His Majesty's Stationery Office
and
King's Printer of Acts of Parliament

To be purchased directly from H.M. STATIONERY OFFICE at the following addresses:
York House, Kingsway, London, W.C.2; 13a Castle Street, Edinburgh 2;
39-41 King Street, Manchester 2; 1 St. Andrew's Crescent, Cardiff;
80 Chichester Street, Belfast;
or through any bookseller

Price 2d. net

(P. 4945)